



## ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE Winter Term 2023/24, 2<sup>nd</sup> Trial

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- Permitted tools: none. In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

### Problem 1: Lecture 6 (literature, 30 points)

In his book “The Three Languages of Politics,” the economist Arnold Kling (2013, 2019) draws attention to political semantics. His diagnosis: Certain semantics can lead to tribalization. Please, reconstruct his argumentation by answering the following sub-questions.

- Arnold Kling distinguishes between three different tribal coalitions in his book. Please, name each tribe (“language”) and describe the individual axes on which each tribe communicates. (6 points)
- What is your opinion to the following statement: Kling argues that one of the three languages is morally superior and should therefore dominate political discourse.  
Please, briefly explain why you agree or disagree with the statement. (7 points)
- Kling points out that the political discourse should not really be about winning the argument. A way to understand politics as a learning process is to put yourself in the shoes of the other tribes. Please, put yourself in the shoes of all three tribes and explain what – according to Kling – the tribes (i) revere, (ii) what they think about markets, and what (iii) their highest virtue is. (9 points)
- Given the current conflict between Israel and the Palestinians, how do progressives and conservatives, respectively, tend to perceive the frontline according to their preferred moral axis? (8 points)



**Problem 2: Trade unions between class struggle and social partnership (lecture 12, 30 points)**

The public discourse often discusses a class struggle between the bourgeoisie and the proletarians. Trade unions are often seen as the representatives of the proletarians. Please, reconstruct the role of trade unions by answering the following sub-questions.

- a) Suppose a trade union can exercise monopoly power. Please, reconstruct this situation in a labour market diagram. Distinguish between the competitive and the monopoly price for labour and furthermore distinguish between employment and unemployment. Please, explain the involved insider-outsider conflict. (12 points)
  
  
  
  
  
  
  
  
  
  
- b) Two unions are competing to gain power at the Deutsche Bahn, namely EVG and GDL. They make extreme wage claims, threaten with strikes, and emphasize class conflict in public discourse. However, in the long run, such claims are harmful to the entire company, including the workers, who run the risk of losing their jobs. Please, reconstruct this competition between two trade unions as a social dilemma. Explain the strategies of the actors in this dilemma. Determine the ordinal payoffs as well as the outcome of this game. Is the situation Pareto-superior or Pareto-inferior from the perspective of the involved actors? (10 points)
  
  
  
  
  
  
  
  
  
  
- c) Instead of engaging in class conflict, trade unions can play a productive role by promoting a social partnership. Please explain the social partnership effects in an appropriate market diagram. What are the differences between a social partnership and a class conflict? What happens to the labor demand curve? Do the employee insiders benefit from a social partnership? Who else benefits? (8 points)